If your money cannot beat the running inflation after paying all taxes, it is actually going down in value every month and every year. Since the money lying in your savings and fixed deposits will never be able to achieve this, you must "invest" to save your money from erosion.

Investment is all about beating inflation and taxes

There are primarily 3 categories in which you can invest your money —

- Cash investments like saving accounts
- Income investments like FDs, bonds
- Growth investments like equities, art and real estate[12]

Inflation

Sam Ewing, a humorist, defines inflation very beautifully:

> *Inflation is when you pay 15 $ for the 10 $ haircut you used to get for 5 $ when you had hair.*

So, in a nutshell, if you leave all your money in the savings account, you are losing money every day. Inflation is a reality in day to day life. You will read more about why inflation occurs in the subsequent sections of the book. But let me try to give you a layman's example of what happens to your money because of inflation.

Let us say that you have ₹1000/- in your savings account today and the current inflation rate is 8%. If you continue to keep the money in a traditional bank savings account, it earns you an interest of approx 4%. In effect, at the end of Year 1, your money would have grown to ₹1040/-. Though we may see this as growth, the sad part is that Inflation eats into all this growth. After Year 1, your money is worth 8% less which means it is now actually worth ₹957/- (if you compare it with the same parameters as ₹1000/- at Year 0).